

07 Jul 2026 05:06:44 ET | 11 pages

China International Capital (3908.HK)

Adding Upside 30-Day Catalyst Watch

Direction: Upside

Duration: Within 30 Days, expected event date 31 Aug 2026

Catalyst: Earnings

We expect CICC's 2Q26 earnings growth (announcing on 31 Aug) to accelerate to >80% y-y (vs. 75% y-y in 1Q26), supported by i) prop trading, given decent A-shr performance (CSI300 +12% q-q in 2Q26, vs. +1.3% q-q in 2Q25); ii) IBD, with CICC's A-shr IPO underwriting amount reaching RMB27bn in 2Q26 (vs. RMB444mn in 2Q25); iii) brokerage commission, amid strong A-shr ADT of RMB2.9tr in 2Q26 (+12% q-q/+132% y-y). Together with strong 2Q result, we think China brokers will further re-rate on a) tightened regulatory scrutiny on China's capital outflow, which will accelerate household asset reallocation towards A-shr market, supporting ADT/market performance and benefit China brokers as proxy; b) easing concern on national team selling pressure (90% of national team's holding on China brokers has been sold). CICC-H is our top pick among China brokers, with ROE improving to c.10% in 2026E, and current valuation of 0.7x 2026E P/B attractive.

Buy / High Risk

Catalyst Watch: Upside

Price (07 Jul 26 16:10)	HK\$21.88
Target price	HK\$27.66
Expected share price return	26.4%
Expected dividend yield	2.6%
Expected total return	29.0%
Market Cap	HK\$105,620M US\$13,467M

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Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	4,998	1.035	-9.1	18.2	0.8	4.5	1.0
2025A	9,054	1.876	81.1	10.1	0.7	7.6	1.7
2026E	13,346	2.765	47.4	6.8	0.7	10.4	2.5
2027E	15,483	3.207	16.0	5.9	0.6	10.9	2.9
2028E	17,333	3.591	11.9	5.3	0.6	11.0	3.2

Source: Powered by dataCentral

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

China International Capital

(3908.HK; HK\$ 21.88; 1H; 07 Jul 26; 16:10)

Investment strategy

We rate CICC H-share Buy / High Risk (1H). CICC's key competitive advantages include valuable brand recognition in the IBD business, a strong institutional customer base, well-recognized investment and research capabilities, solid relationships with SOEs, SMEs and new economies companies, and strong overseas presence that allows it to offer one-stop cross-border services. As a top-tier securities firm in China, CICC looks well-positioned to benefit from the positive longer-term sector outlook, with multiple tailwinds including: 1) potential Chinese ADRs' "homecoming" listing to A-share/ H-share markets; 2) China's capital market reform with stronger push for direct financing; 3) potential full adoption of registration-based IPO system; 4) household asset re-allocation towards equity/ funds; 5) institutionalization and internationalization trends in the A-share market; and 6) further opening up of the derivatives market, etc.

Valuation

We value CICC-H on a three-stage GGM with a target price of HK\$27.66, implying 0.90x FY26E P/B. Our three-stage GGM method's assumptions are: (i) High growth phase based on our explicit forecasts for 2026-28E – during this period, we effectively assume an average ROE of 5.9% and a dividend payout ratio of 15.2%; (ii) 7-year growth phase in 2029-2035E – during this period, we assume an average ROE of 15.8% and a dividend payout ratio of 20%; (iii) Terminal phase assumes an average ROE of 17% and a dividend payout ratio of 30%. We assume a COE of 16.8% for all three stages.

Risks

We rate CICC-H shares High Risk given the volatility in the market. Key downside risks that could prevent the stock from reaching our target price are: (i) a weaker-than-expected A-share market, which would drag down earnings and sentiment toward China's securities firms; (ii) slower economic growth in China, which would affect social wealth and equity market performance; (iii) setbacks for financial reforms; (iv) intensifying competition from domestic giant brokers, Internet finance players, Sino-foreign joint venture securities firms and wholly foreign-owned securities firms, which may weigh on underwriting and brokerage fee rate; and (v) higher-than-expected credit risks to counterparties in the case of credit events.

China International Capital

(601995.SS; Rmb36.28; 2H; 07 Jul 26; 15:00)

Valuation

We value the CICC A-share on a three-stage GGM with a target price of RMB41.99, implying 1.50x FY26E P/B. Our three-stage GGM method's assumptions are: (i) High growth phase based on our explicit forecasts for 2026-28E. During this period, we effectively assume an average ROE of 5.9% and a dividend payout ratio of 15.2%; (ii) 7-year growth phase in 2029-2035E. During this period, we assume an average ROE of 15.8% and a dividend payout ratio of 20%; (iii) Terminal phase assumes an average ROE of 17% and a dividend payout ratio of 30%. We assume COE of 14.8% for all three stages.

Risks

We rate CICC A-shares High Risk given the volatility in the market. Key downside/upside risks that could cause the stock to deviate from our target price include: (i) a weaker/stronger-than-expected A-share market, which would drag down/accelerate earnings and sentiment toward China's securities firms; (ii) slower/stronger economic growth in China, which would affect social wealth and equity market performance; (iii) setbacks for financial reform; (iv) intensifying/tamer competition from domestic giant brokers, Internet finance players, Sino-foreign joint venture securities firms and wholly foreign-owned securities firms, which may weigh on/lift underwriting and brokerage fee rates; and (v) higher/lower-than-expected credit risks to counterparties in the case of credit events.

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Appendix A-1

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China International Capital
(601995.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Judy Zhang



	Date	Rating	Target Price	Closing Price
1	04-Sep-23 07:01:21	2H	*40.44	39.37
2	09-Jan-24 07:56:25	2H	*39.73	33.96
3	06-May-24 07:14:54	2H	*36.85	33.74

	Date	Rating	Target Price	Closing Price
4	04-Sep-24 05:48:50	2H	*28.07	27.67
5	04-Dec-24 05:14:02	2H	*40.08	35.98
6	02-Apr-25 11:37:13	2H	*41.65	34.77

	Date	Rating	Target Price	Closing Price
7	05-Sep-25 16:32:15	2H	*41.91	37.29
8	04-May-26 02:01:05	2H	*41.99	34.23

*Indicates Change

Rating/target price changes above reflect Eastern Time

China International Capital
(3908.HK)

Ratings and Target Price History
Fundamental Research

Analyst: Judy Zhang



	Date	Rating	Target Price	Closing Price
1	04-Sep-23 07:01:21	1H	*21.70	15.12
2	09-Jan-24 07:56:25	1H	*17.48	10.28
3	06-May-24 07:14:54	1H	*16.54	9.95

	Date	Rating	Target Price	Closing Price
4	04-Sep-24 05:48:50	1H	*12.60	8.08
5	04-Dec-24 05:14:02	1H	*18.00	13.90
6	02-Apr-25 11:37:13	1H	*19.43	15.08

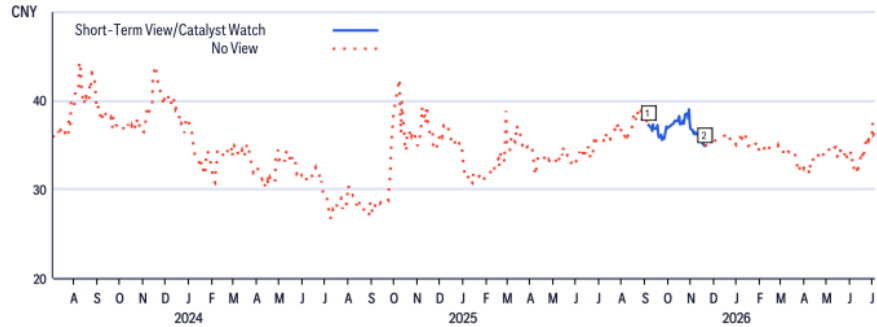
	Date	Rating	Target Price	Closing Price
7	05-Sep-25 16:32:15	1H	*27.12	20.56
8	04-May-26 02:01:05	1H	*27.66	21.12

*Indicates Change

Rating/target price changes above reflect Eastern Time

China International Capital
(601995.SS)
Short-Term View/Catalyst Watch Research

Analyst: Judy Zhang



	Date	Action	Expected Direction	Duration	Closing Price
1	05-Sep-25 12:32:15	Add STV	Upside	90 Days	37.29

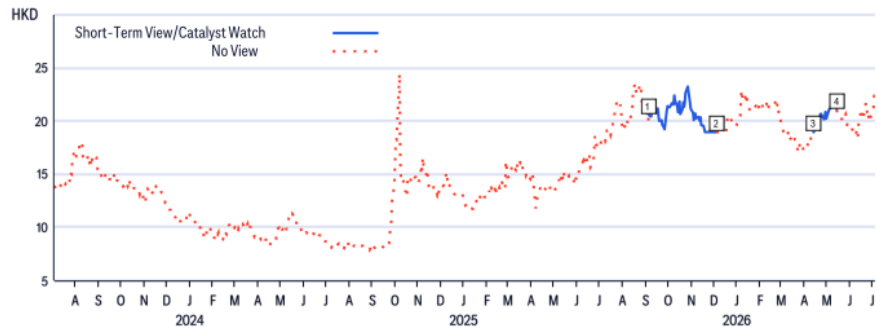
	Date	Action	Expected Direction	Duration	Closing Price
2	04-Dec-25 21:04:38	Remove STV	Upside	90 Days	34.89

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

China International Capital
(3908.HK)
Short-Term View/Catalyst Watch Research

Analyst: Judy Zhang



	Date	Action	Expected Direction	Duration	Closing Price
1	05-Sep-25 12:32:15	Add STV	Upside	90 Days	20.56
2	04-Dec-25 22:34:44	Remove STV	Upside	90 Days	18.96

	Date	Action	Expected Direction	Duration	Closing Price
3	13-Apr-26 08:04:33	Add CW	Upside	30 Days	18.95
4	14-May-26 00:27:45	Remove CW	Upside	30 Days	21.06

CW - Catalyst Watch, STV - Short-Term View

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
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